



THE WAR AGAINST MONOPOLY

THE FEDERAL TRADE COMMISSION (1914)

IN CONTEXT

FOCUS

Commercial law

BEFORE

1890 The US Sherman Antitrust Act outlaws price fixing and monopolies.

1911 The US Supreme Court forces Standard Oil and American Tobacco to break up their monopolies.

AFTER

1914 The Clayton Antitrust Act forbids business mergers that might impair competition or create monopolies in the US.

1972 In *FTC v. Sperry & Hutchinson Co.*, the Supreme Court ruling confirms the FTC's power to define criteria for identifying unfair business practices.

1999 Microsoft is found to be an illegal monopoly by the Supreme Court. It escapes break-up upon appeal.

The **successful working** of the free market depends on **fair competition**.



Giant monopolies and trusts **inhibit competition**.



The free market is **unable to prevent the development** of monopolies and trusts.



The government must have a powerful agency to **prevent anti-competitive practices**.

The creation of the Federal Trade Commission (FTC) by the 28th US president, Woodrow Wilson, in 1914 was a landmark event in American business. It was the first truly determined initiative to bring the overweening power of existing giant corporations under control.

The FTC's brief is to protect consumers, investors, and businesses from anti-competitive

practices, such as bid rigging, price fixing, monopolies, and monopolistic mergers. There is an underlying assumption that the free market cannot guarantee the absence of these practices without being steered in the right direction.

Rapid economic growth in the US, partly due to a population increase, meant the necessity for legislation had become ever more pressing in the early 1900s. Many